

Corporate misinformation was used to manipulate the prices of securities, both in initial public offerings and in the aftermarkets. After the Securities Acts, corporate reforms were slow but deliberate. By the time the third edition of the book appeared in 1951, references to corporate abuses were eliminated and, in their place, Graham and Dodd addressed the problems of stockholder-management relations, principally management's competence and the policy of dividends.

The essence of *Security Analysis* is that a well-chosen diversified portfolio of common stocks, based on reasonable prices, can be a sound investment. Step by careful step, Graham helps investors to see the logic of his approach.

The first problem that Graham had to contend with was the lack of a single universal definition for *investment*. Quoting Justice Louis Brandeis, Graham pointed out that "investment is a word of many meanings." The issue, Graham noted, does not turn on whether the item is a stock (and therefore speculative by definition) or a bond (and therefore an investment). A poorly secured bond cannot be considered an investment just because it is a bond. Neither can a stock with a per-share price that is less than its net current assets be considered a speculation just because it is a stock. Intention is what counts, Graham said. Buying a security with borrowed money, in hopes of making a quick profit, is speculation, regardless of whether the security is a bond or a stock. Considering the complexities of the issue, Graham proposed his own definition: "An investment operation is one which, upon thorough analysis, promises safety of principal and a satisfactory return. Operations not meeting these requirements are speculative."³ That simple sentence is densely packed with ideas, and they deserve our careful attention.

First, what did he mean by "thorough analysis"? He started with a succinct definition: "the careful study of available facts with the attempt to draw conclusions therefrom based on established principles and sound logic."⁴ And then he went further, describing analysis as a three-step process: (1) descriptive, (2) critical, and (3) selective. The first phase involves gathering all the facts and presenting them in an intelligent manner. The second involves examining the merits of the standards used to communicate information: Have the facts been represented fairly? The final